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ECONOMY

China Producer Inflation Accelerates to Over Four-Year High

Consumer-price index rose 0.7% from a year earlier, slowing from September

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The producer-price index climbed 5.7% in October from a year earlier, accelerating from September's 5.0% increase. -/CN-STR/AGENCE FRANCE-PRESSE/GETTY IMAGES

China's factory-gate prices rose at their fastest pace in more than four years last month as surging energy prices continued to push up production costs, while consumer inflation missed forecasts amid weak consumption.

The producer-price index climbed 5.7% from a year earlier, accelerating from September's 5.0% increase, data from the National Bureau of Statistics showed Monday. The reading topped the median forecast of a 5.3% increase from a Wall Street Journal poll of economists.

China's factory-gate prices have risen for eighth straight months, fueled by elevated oil prices and strong technology exports.

On a monthly basis, producer prices rose 0.7%, compared with a 1.2% increase in September.

Meanwhile, China's consumer-price index rose 0.7% from a year earlier, slowing from September's 0.9% increase and falling short of the 0.8% rise expected by economists in the WSJ poll.

"China has emerged from deflation this year, helped by firmer energy and technology prices, but inflation remains well below target," said ING economist Lynn Song.

The main drag came from food prices, which fell 2.9% from a year earlier in October. Core CPI, which excludes volatile food and energy prices, rose 0.8% from a year earlier, slowing from September's 1.0% increase.

October's weak consumer inflation reading was consistent with subdued travel spending during China's weeklong National Day holiday. Average spending per trip fell to a four-year low during the holiday, according to Citi economists.

Capital Economics expects the external price shock to persist in the coming months, but its impact should fade next year.

"We expect producer prices to return to deflation and consumer price inflation to fall back to an average of just 0.4% in 2027." CE economists said in a note after the data release.

Despite weak household sentiment stemming from a yearslong property slump, Beijing is unlikely to introduce major measures to boost consumption anytime soon. Analysts expect policymakers to focus instead on strengthening China's technology sector, with resilient exports continuing to support economic growth.

During a visit to Beijing earlier this month, Citi economists met with former policy advisers and industry experts and found overall sentiment was more subdued than on previous visits.

“There was a widely shared consensus among our speakers and participants that growth headwinds are building into 2027, with potential slowdown in exports and continued weakness in consumption,” they told clients in a note last week.

While participants agreed on the steps needed to support growth and rebalance the economy, shifting policy priorities have raised uncertainty over what measures Beijing will ultimately take, Citi’s economists added.

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